

IN THE HIGH COURT OF JUSTICE — KING'S BENCH DIVISION

Claimant's Skeleton Argument

1. The claimant advances its claim in negligence and in contract.
2. Duty of care. The modern test for the existence of a duty of care is the three-stage test in *Caparo Industries plc v Dickman* [1990] 2 AC 605: foreseeability, proximity, and whether it is fair, just and reasonable to impose a duty. That analysis builds on the neighbour principle in *Donoghue v Stevenson* [1932] AC 562.
3. Negligent misstatement. Where the loss is purely economic and flows from reliance on a statement, liability is governed by *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465, which turns on an assumption of responsibility.
4. Remoteness of damage. Losses are recoverable only within the two limbs of *Hadley v Baxendale* (1854) 9 Ex 341 — loss arising naturally, or loss within the reasonable contemplation of both parties at the time of contracting.
5. Inducing breach of contract. The defendant's procurement of the third party's breach engages the tort first recognised in *Lumley v Gye* (1853) 2 E&B 216.
6. For these reasons the claimant invites the court to find in its favour.

TABLE OF AUTHORITIES

- *Caparo Industries plc v Dickman* [1990] 2 AC 605
- *Donoghue v Stevenson* [1932] AC 562
- *Hedley Byrne & Co Ltd v Heller & Partners Ltd* [1964] AC 465
- *Hadley v Baxendale* (1854) 9 Ex 341
- *Lumley v Gye* (1853) 2 E&B 216